Financial Management

Essential Practices for Community Organizations

What is financial management?

Financial management means **planning, using, and controlling money wisely** to support an organization's goals and mission.

It ensures that resources are used effectively, transparently, and in alignment with organizational objectives.

The four pillars of financial management

1

Budgeting Basics

2

Bookkeeping & Record-Keeping

3

Transparent Procedures

4

Financial Reporting

1. Budgeting basics

What is a budget?

A clear financial plan showing:

- Expected income sources
- Planned expenses by category
- Allocation of resources to programs

Why it matters

- Prevents overspending, ensures resources align with organizational priorities, and provides a roadmap for financial decisions.

Key practices

- Review and adjust budget regularly (monthly or quarterly)
- Involve key stakeholders in budget planning
- Track actual vs. budgeted amounts
- Build in contingency for unexpected expenses

2. Bookkeeping & Financial Record-Keeping

Core activities

Recording all transactions:

- Income received (donations, grants, sales)
- Expenses paid (supplies, salaries, utilities)

Organizing documentation:

- Receipts and invoices
- Bank statements
- Financial records

Best practices

✓ Record transactions promptly (daily/weekly)

✓ Use consistent categories and codes.

✓ Store documents in organized system (physical or digital).

✓ Reconcile bank accounts monthly.

✓ Back up digital records regularly

3. Transparent Procedures & Accountability

Managing money openly and responsibly

Transparent financial procedures build trust with donors, members, and the community. They ensure money is used as intended and can be properly monitored by stakeholders.

Builds Trust

Stakeholders see how funds are managed

Reduces Misuse

Clear procedures prevent fraud and errors

Enables Monitoring

Allows proper oversight and audits

Key accountability practices

Separation of duties

Different people handle approval, payment, and record-keeping to prevent errors and fraud.

Authorization protocols

Clear rules about who can approve expenses and spending limits for different roles.

Regular reviews

Board or finance committee reviews financial statements and approves major expenditures.

Documentation standards

All financial transactions require proper supporting documentation and approval signatures.

4. Financial reporting

What are financial reports?

Simple, clear documents showing how money was received and spent during a specific period.

Common reports include:

- Income Statement (revenue vs. expenses).
- Balance Sheet (assets, liabilities, equity).
- Budget vs. Actual comparison.
- Cash flow statement.

Why reporting matters

- Helps leaders make informed decisions
- Shows donors and funders impact of their support
- Identifies financial trends and potential issues early
- Meets legal and compliance requirements
- Demonstrates accountability to stakeholders

Effective reporting practices

Regular schedule

Produce reports monthly, quarterly, and annually for consistent monitoring.

Clear & Simple

Use plain language and visual aids; avoid jargon that confuses stakeholders.

Accurate & Timely

Ensure data is verified and reports are delivered when decisions need to be made.

Tailored to audience

Adjust detail level for board, staff, donors, and community members.

Highlight issues

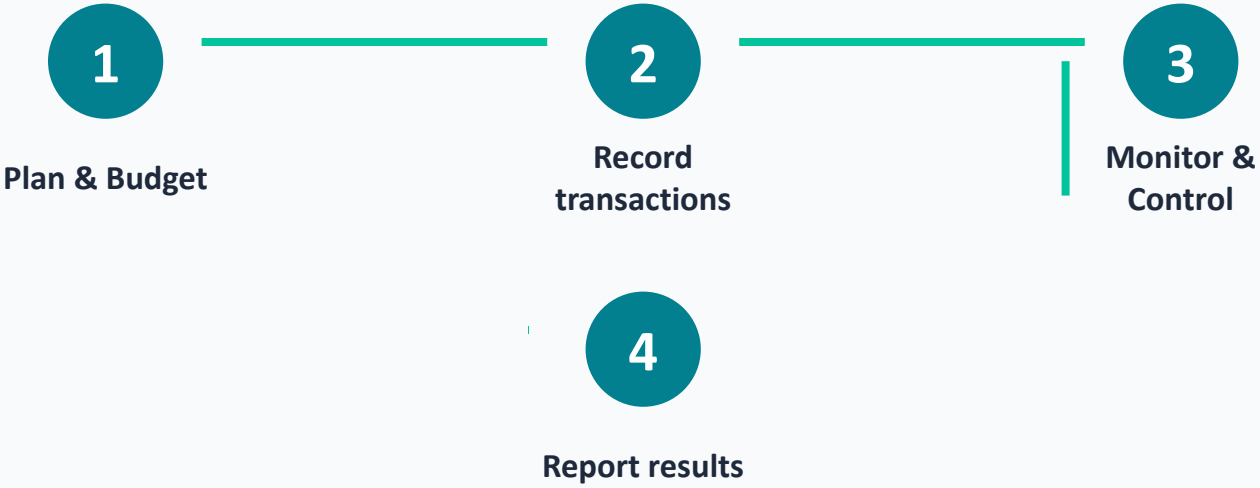
Flag variances from budget, declining funds, or areas needing attention.

Include context

Provide narrative explaining significant changes or unusual transactions

Putting it all together

The Financial Management Cycle



Learning Activity

1. Does your organization currently have a budget?
2. Do you keep financial records regularly?
3. Who checks financial reports?

Participants deliverables

1. Create a simple monthly budget
2. Start a transaction record book
3. Develop clear financial approval procedures
4. Prepare a basic financial report

Key Takeaways

- ✓ **Budget wisely** to guide spending and save resources.
- ✓ **Keep accurate records** of all transactions.
- ✓ **Manage transparently** to build trust and accountability.
- ✓ **Report regularly** to inform decisions and demonstrate impact.

Good financial management strengthens your organization and its mission